might force into the open a competing bid from another insurer. It was an asymmetric value proposition—limited downside, substantial upside—and too good to pass on.

Brierley had been soaking up shares of Equity and Law for two years when in September 1987 the Insurance Companies Act of 1982 forced his hand. The Act required approval of the United Kingdom's Department of Trade and Industry for a shareholding exceeding 33.3 percent of the voting power, and Brierley had pushed to 29.6 percent. Approval by the Department of Trade and Industry took six weeks, which left only one week to complete the takeover under UK law.[37] On September 4, 1987, Brierley bid 363p cash per share for Equity and Law, valuing the company at £374 million (about $1.2 billion).[38] The board immediately rejected the bid as "unwelcome and undervalued."[39] In the Bangkok airport lounge en route back to Australia, Brierley learned of a new 400p bid from French insurer Compagnie du Midi, which had previously discussed with Brierley acquiring his stake in Equity and Law.[40] Equity and Law's board also rejected Compagnie du Midi's bid. Within the month, however, it had accepted a revised 446p bid from Compagnie du Midi. The media and other Brierley Investments executives expected him to accept the bid too, and so they were shocked when he bid again at 450p. Why bluff and risk losing Compagnie du Midi's offer for 4p, less than 1 percent more? Brierley's assessment was the correct one, however, and Compagnie du Midi responded with a revised 450p bid, the absolute limit of Equity and Law's value, which Brierley accepted.[41] The revised offer delivered to Brierley Investments a profit of £42.9 million (about $140 million) or 42 percent on its position.[42] Brierley had rolled the dice and won handsomely, but had used up his political capital at Brierley Investments at the time he would need it most.

Equity and Law was the last takeover for Ron Brierley at Brierley Investments. The October 19, 1987 stock market crash occurred two weeks after Compagnie du Midi's bid closed. The New Zealand stock market fell more than any market in the world. From its peak of 3,968.89, it fell 32 percent to 2,000 over the following three months.[43] Brierley Investments fared even worse, dropping 40 percent from $4.43 to $2.70.[44] Brierley Investments' executives believed that had Compagnie du Midi withdrawn, Brierley Investments might have been sunk.[45] Worse, he had gambled the company on a 1 percent increase on Compagnie du Midi's bid. Brierley had predominantly used cash in takeovers to avoid diluting his own shareholding, but Brierley Investments was an investment company, and Brierley had never held a controlling shareholding in it. In 1961 he had subscribed shares along with the other shareholders and ended up with just 15 percent. By 1987 that shareholding had dwindled to 3.7 percent of the shares outstanding as stock had been issued for acquisitions. In 1989 Brierley was pushed